

Piezo

Trustless prop trading.



Mission statement:

Piezo is building a prop firm on the blockchain ensuring the rules governing trader's eligibility for payouts are verifiably enforced by open source code and the firm can't interfere with payouts even if it wants to. Piezo aims to be the most trustworthy prop firm in the industry.

What is a prop firm?

A prop firm sells trading challenges for a fee. If the user reach certain profit targets and obey certain rules trading simulated funds, the trader gets access to real funds and gets a cut of the profit.

In practice the trader is rarely put on real funds and payouts are funded by revenue from challenge fees.

The problem

Prop traders are often denied payouts discretionarily by prop firms after paying many challenges, failing many, and eventually passing one, despite having qualified according to the stated rules.

Negative trustpilot reviews are dominated by this issue.

A close-up photograph of a person's hand holding a stylus, poised to write on a tablet. The background is blurred, showing bokeh light effects. The text 'The solution' is overlaid in white on the left side of the image.

The solution

Piezo is building a prop firm on the blockchain ensuring the rules governing traders eligibility for payout is verifiably enforced by open source code and the firm can't interfere with payouts even if it wants to.

Market

The prop firm industry is estimated at \$20B. Search interest in prop firms grew 607% between 2020 and 2024. The industry leader, FTMO, grew 53% in 2024. One of the biggest, FundingPips, was founded in 2022, showing potential for rapid growth. There are hundreds of firms being established and doing pretty well, showing lots of room for new entrants. Some traders are so turned off by this trust issue that they don't use prop firms at all.

Value Proposition

Traders can now trade free from anxiety and counterparty risk modelling, assured in the knowledge that if they meet the stated eligibility criteria, they will receive their payout.

Go-to-market strategy

Pre product market fit, offering small challenges at a big discount to traders on Reddit and Discord could be a very effective way to get first customers. FTMO's revenue/payout ratio is around 3, therefore, other costs notwithstanding, all else being equal, we could offer challenges at a half of their price and still make money. Big prop firms spend a lot on marketing, affiliates, influencers, we could potentially spend less later with such a clear value proposition. We could do premium pricing. Traders discuss firms in Discord etc a lot, so virality could be powerful.

Competition.

Many prop firms seem to do quite well despite quite superficial differentiation. This suggests a baseline confidence may be appropriate that if we execute at least pretty well, we should do at least pretty well.

Some big prop firms have a very good reputation for not denying payouts, though none is perfect. Notably, the biggest firms are the ones with the best reputation in this regard. This should encourage us.

We have found only one serious competitor aiming for trustless prop trading, carrotfunding. They're quite early and while they are building infrastructure for transparency, they still appear to reserve the step of executing the payout to human discretion. We also aim to be much more demonstrative in our auditability.

Progress.

<https://github.com/karhic/piezo-prototype/tree/main>

The prototype is running and tested on a testnet. I'm expecting to make a lot of progress in the coming weeks, with the main milestone being running a small live user test on Reddit to validate demand.

I'm reaching out to angels, engineers and customers early so that by the time I hit that milestone everyone is already aware of the project and we can move quickly.

Unpopular Opinion.

To deny ourselves the out of denying payouts in order to protect ourselves from the tail risk of trader cohort performing better than expected is both less risky in terms of the likelihood of it happening and less catastrophic even if it does happen than others think.

This risk will be more than compensated for by the huge advantage this stance will give us in terms of marketing.

In the highly unlikely event that we lose our entire float, we are still very much alive with lots of money already made and a strong customer base and reputation.

Funding.

The two major early costs will be engineering and seeding the float. Challenge pass rates are related to how hard the challenges are to pass, which are related to the rules. We don't intend to innovate in this domain, at least not yet, and instead to implement FTMO's proven rules that produce solid unit economics. Some of them are easy to implement, some are hard. Some are designed to protect against adversarial strategies which are much more likely to happen with more users.

\$150k can get us to the version that's good enough for the first few hundred customers, get product-market fit and (re)produce unit economics that are at least clearly moving in the right direction.

\$500k can comfortably get us to the very solid version with sophisticated risk management, hedging, security, very strong unit economics with plenty of money left over to explore marketing, CAC optimisation etc.

After \$500k the company should be able to grow organically quite quickly and no further funding should be necessary.

